

Independent Valuation Study — Educational Analysis

Kakao Corp. (KRX: 035720)

Fundamental analysis · Technical analysis · Monte Carlo simulation — one integrated read

Anchor: KRW 33,150 (26 Jun 2026 close) · ~440.7m shares · mkt cap ~KRW 14.6tn · Korea's dominant messaging-and-platform holding company · listed-affiliate stakes (KakaoBank, KakaoPay, Kakao Games, SM Entertainment) and unlisted subsidiaries (Kakao Entertainment, Kakao Mobility) · prices & probabilities computed 26 Jun 2026 from the attached daily price history · independent holding-company sum-of-the-parts on transaction-marked assets · the holding-company discount is the swing factor.

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Headline

The model's read: roughly fairly valued, with the upside resting on the holding-company discount closing. At KRW 33,150 the shares trade about 3% below our weighted central estimate of KRW 34,258; spot sits within a few percent of most fundamental lenses. Kakao is Korea's dominant messaging platform — KakaoTalk reaches almost the entire population — wrapped inside a holding company whose value sits largely in listed and unlisted stakes (KakaoBank, KakaoPay, Kakao Entertainment, Kakao Mobility) rather than in its own reported earnings. The shares have fallen ~36% over the past year to sit at their 52-week low, roughly 53% below the 52-week high. The question is not whether Kakao owns valuable assets — it plainly does — but whether the market's ~36% discount to their sum is the right price.

Five independent lenses cluster between KRW 24,517 and KRW 46,401; the weighted central estimate is KRW 34,258, about 3% above spot. The holding-company sum-of-the-parts — listed stakes at market, unlisted subsidiaries at transaction marks, the core KakaoTalk platform on a multiple, plus parent net cash, less a 32% holding-company discount — lands at KRW 35,216 (+6%). A consolidated DCF that values only Kakao's owned operating cash flow, deliberately excluding the equity-method stake values, lands far lower at KRW 24,517 (-26%) — confirming that the operating engine alone does not carry the price; the value is in the stakes. Relative multiples (KRW 31,223) and through-cycle earnings power (KRW 32,948) sit close to spot. Only the discount-compression case at KRW 46,401 (+40%) — gross NAV at a narrow 22% discount — reaches the upside; the wide-discount case at KRW 21,745 (-34%) is the downside. We do not adopt either tail as the base.

This is a statement about valuation, not direction. Kakao's tape is weak — the shares sit at multi-year lows, below all three falling moving averages, with an oversold RSI near 27 — and a single 16-factor Monte Carlo (KakaoTalk ad/commerce, AI monetization, KOSPI flows, USD/KRW, plus nine discrete events including regulatory action and stake crystallization; 50,000 paths, seed 42) puts both the T+20 and T+60 medians near spot (~KRW 33,300 and ~33,600) inside a very wide cone — Kakao's realized volatility is ~51%. A beaten-down holding company can stay cheap for a long time. What a buyer at this level underwrites is that the holding-company discount narrows toward its historical range, that AI monetization (the OpenAI tie-up and the in-house Kanana model) begins to show in Talk Biz, and that the listed and unlisted stakes hold or crystallize their value — not a margin of safety on reported earnings, which capture little of the asset base. The downside tail belongs to a persistently wide or widening discount, ad-market softness and regulatory action; the upside to discount compression, stake crystallization (a Kakao Entertainment or Mobility listing) and Korea's value-up re-rating.

Company overview — Kakao at a glance

Kakao Corp. (KRX: 035720) is the operating and holding company behind KakaoTalk, the messaging application used by essentially the entire South Korean population and the hub of a broad mobile ecosystem. Its profit engine is "Talk Biz" — advertising and commerce inside KakaoTalk — which carries a 30%-plus operating margin. Around it sit a portal (Daum), an in-house AI effort (Kanana) and a portfolio of majority- and minority-owned platform businesses: KakaoBank (a leading internet-only bank), KakaoPay (fintech/payments), Kakao Entertainment (webtoons, music and IP), Kakao Mobility (ride-hailing and mobility), Kakao Games, and a direct stake in SM Entertainment. The defining feature for valuation is structural: most of Kakao's value sits in those listed and unlisted stakes, which lie largely outside its consolidated reported earnings — so the stock is best read as a holding company trading at a discount to the sum of its parts, not as a multiple on its income statement. Two 2025-26 developments matter: the founder, Kim Beom-

su, was acquitted in October 2025 of stock-manipulation charges tied to the SM acquisition, removing an overhang that had threatened a forced divestiture of the bank; and Kakao struck a partnership with OpenAI to embed ChatGPT inside KakaoTalk while building its own Kanana models.

Item	Value (as disclosed / derived)
Listing / sector	KRX: 035720 · internet software & platform (messaging holding company)
Ultimate context	Founder-led (Kim Beom-su); founder acquitted Oct 2025, bank-divestiture overhang removed
Share price (26 Jun 2026 close)	KRW 33,150
Shares outstanding	~440.7m
Market capitalisation	~KRW 14.6tn (~USD 10.6bn)
FY2025 revenue / OP / net	KRW 8.10tn / 0.73tn / 0.53tn (record)
Gross NAV per share (SOTP)	~KRW 51,788
Discount to gross NAV at spot	~36%
Key listed stakes	KakaoBank ~27% · KakaoPay ~45% · Kakao Games ~15% · SM Ent ~21%
Key unlisted subs	Kakao Entertainment ~66% · Kakao Mobility ~57%
Book value per share (FY2025)	~KRW 23,800 attributable (P/B ~1.4x)
2025a P/E	~27.8x (reported earnings exclude most stake value)
AI angle	OpenAI ChatGPT-in-KakaoTalk + in-house Kanana
52-week range	KRW 32,250 – 71,600 (spot at the low)

Company-level figures are sourced from Kakao's public disclosure (Kakao IR / DART) and other public sources; forward-looking inputs — the holding-company discount, the unlisted marks, the core-platform value, the 2026e-2030e projections, the multiples, the DCF and the Monte-Carlo factor probabilities — are the preparer's derived estimates, not company disclosure, and are flagged throughout.

1 Fundamental valuation

A messaging-and-platform holding company is not valued like a property developer or a bank: there is no land bank to revalue and no loan book to provision, but a portfolio of stakes — some listed and marked daily by the market, some unlisted and marked only by transactions — sitting above a modest, profitable core platform and a pile of parent net cash. The primary lens is therefore a holding-company sum-of-the-parts (SOTP): take each listed stake at its market value, each unlisted subsidiary at a transaction-implied mark, the core KakaoTalk operating business on a cash-flow multiple, add parent net cash, and then apply a holding-company discount to reflect that the market never pays full asset value for a holdco. We then cross-check that figure three ways — a consolidated DCF on the owned operating business, relative multiples, and a through-cycle earnings-power calculation. Reported financials are Kakao's disclosure; the marks, the core value and the discount are our judgments, shown explicitly so you can disagree.

1.1 Holding-company sum-of-the-parts — the primary lens

The crux of the whole exercise is the discount, not the assets. Summed at our marks, Kakao's gross asset value is about KRW 22.8 trillion, or KRW 51,788 per share — the listed stakes alone (KakaoBank, KakaoPay, Kakao Games, SM) are worth ~KRW 5.9tn at market, the two large unlisted subsidiaries (Kakao Entertainment, Kakao Mobility) ~KRW 8.4tn at transaction marks, the core KakaoTalk platform ~KRW 7.0tn, and parent net cash ~KRW 1.5tn. The market, however, never credits a holding company with the full sum: at spot the shares price a ~36% discount to that gross NAV. Our base case applies a 32% discount — slightly tighter than the market, on the view that the founder's acquittal and the value-up agenda argue for some normalisation — giving a base SOTP of **KRW 35,216**, about 6% above spot.

SOTP component (base case)	Ownership	Mark	Value (KRW tn)
KakaoBank (listed, at market)	27.2%	mkt	2.88
KakaoPay (listed, at market)	44.5%	mkt	2.56
Kakao Games (listed, at market)	14.7%	mkt	0.13
SM Entertainment (listed, direct)	20.8%	mkt	0.33
Kakao Entertainment (unlisted)	66.0%	KRW 8tn EV	5.28
Kakao Mobility (unlisted)	57.3%	KRW 5.5tn EV	3.15

SOTP component (base case)	Ownership	Mark	Value (KRW tn)
Core platform (Talk Biz + Daum + AI)	100%	~10x EBITDA	7.00
(+) Parent net cash			1.50
Gross NAV			22.82
Gross NAV / share			KRW 51,788
(-) Holdco discount (base)		32%	
Value / share (base)			KRW 35,216

The three SOTP cases bracket the discount debate. The **discount-compression (bull) case** narrows the holding-company discount to 22%, lifts the unlisted marks (Kakao Entertainment to ~KRW 10tn, Mobility to ~KRW 6.5tn) and strengthens the core — it reaches **KRW 46,401** (+40%). The **wide-discount (bear) case** widens the discount to 48% and cuts the marks — the "the discount is structural and the assets are stale" view — and falls to **KRW 21,745** (-34%). The width of that range, KRW 21,745 to KRW 46,401, is the honest measure of how much the answer depends on one's view of the holding-company discount and the private marks, neither of which the market observes directly.

1.2 Consolidated DCF — the cash-flow cross-check

The SOTP values Kakao on its assets; a DCF asks a narrower, more demanding question — what is Kakao's own operating cash flow worth, before crediting any of the stakes? We project unlevered free cash flow to the firm (FCFF) for 2026e-2030e on the consolidated operating business, discount at a KRW WACC of 9.5%, add a normalised terminal value and parent net cash, and — deliberately — add none of the equity-method stake values. The result, KRW 24,517, is far below both spot and the SOTP, and that gap is the point: it shows that Kakao's owned operating engine alone does not justify the price; the value lives in the stakes the SOTP captures.

FCFF build (KRW tn)	2026e	2027e	2028e	2029e	2030e
Operating profit	0.80	0.92	1.05	1.18	1.30
NOPAT (after 22% tax)	0.62	0.72	0.82	0.92	1.01
(+) D&A	0.57	0.60	0.63	0.66	0.69
(-) Capex	(0.80)	(0.84)	(0.88)	(0.92)	(0.96)
(-) Δ Working capital	(0.05)	(0.03)	(0.02)	(0.02)	(0.02)
Unlevered FCFF	0.34	0.45	0.55	0.64	0.72
DCF bridge to value		KRW tn		per share	
PV of explicit FCFF (2026e-2030e)		2.0			
(+) PV of terminal value (norm. FCFF, g 3.0%)		7.3			
Enterprise value (operating)		9.3			
(+) Parent net cash		1.5			
Equity value		10.8			
DCF value / share				KRW 24,517	
vs spot				-26%	

Why the DCF lands so far below the SOTP. At KRW 24,517 the cash-flow lens sits well below the asset-based KRW 35,216 and below spot — by construction, because it excludes the market value of KakaoBank, KakaoPay and the other stakes. It also reflects that Kakao reinvests heavily: capex steps up above depreciation as the company funds AI, content and infrastructure, so free cash flow stays modest even as earnings recover. A bull will object that this lens ignores most of the asset base — correct, and exactly why we treat the DCF as a narrow cross-check rather than the primary lens. But it makes the central point unambiguous: Kakao is an asset story, not an operating-cash-flow story, and any thesis must rest on the stakes and the discount. Sensitivity grids are in 1.9.

1.3 Relative multiples

On reported earnings Kakao screens expensive; the comparison is misleading. At KRW 33,150 the shares trade at ~27.8x FY2025 earnings — optically rich next to Naver (~12-16x) and most platform peers. But that multiple is a function of a denominator that captures almost none of the stake value: Kakao's listed affiliates are equity-method or marked outside operating profit, so the P/E lens systematically understates the company. Blending EV/Sales (1.8x on KRW 8.1tn revenue), EV/EBITDA (9x) and P/E (20x on normalised net) gives **KRW 31,223** (-6%). The honest reading: the relative lens is the least informative for a holding company, and is included mainly to show why the P/E comparison to Naver should not be taken at face value.

Relative lens	Metric	Multiple	Implied / sh
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EV / Sales	KRW 8.10tn rev	1.8x	KRW ~36,400
EV / EBITDA	KRW 1.30tn EBITDA	9.0x	KRW ~29,800
P / E (normalised net)	KRW 0.60tn	20x	KRW ~27,200
Blended relative value			KRW 31,223

1.4 Normalized earnings power

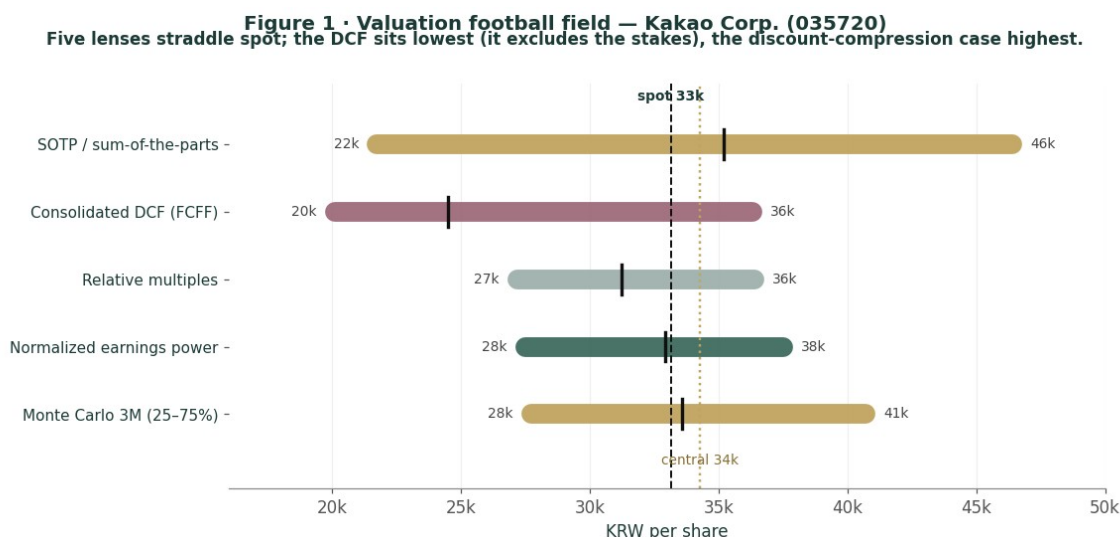
Strip out impairments and the AI-investment drag and ask what Kakao earns in a normal year. Adding back the one-off goodwill impairments and normalising the loss-making New Initiatives, a defensible through-cycle net profit is ~KRW 0.66tn — above the noisy reported figures. At a 22x multiple (a platform premium, but applied to earnings that still exclude the stakes) that is **KRW 32,948** (-1%), essentially at spot. Like the relative lens, this measures only the operating earnings and so understates a company whose value is mostly in its holdings; it is included as a discipline, not as the primary anchor.

1.5 Synthesis — five lenses

The five methods and weights are below. We lean on the holding-company SOTP (the right structure for a holdco) and split the remaining weight across the relative and normalized lenses and a modest weight on the discount-compression case, with the DCF carried as a corroborating cross-check that deliberately isolates the operating business.

Method	KRW / sh	vs spot	Weight
SOTP — base (32% discount)	35,216	+6%	25%
SOTP — bull (22% discount)	46,401	+40%	15%
Consolidated DCF (FCFF)	24,517	-26%	10%
Relative multiples (blended)	31,223	-6%	25%
Normalized earnings power	32,948	-1%	25%
WEIGHTED CENTRAL	34,258	+3%	100%

Figure 1 · Valuation football field — five lenses. Spot sits a few percent below the weighted central and inside the cluster; the DCF sits lowest (it excludes the stakes), the discount-compression case highest.



How to read this. The clustering is tight and straddles spot — the signature of a roughly fairly valued stock rather than an obvious bargain or an obvious short. The dispersion is driven almost entirely by one input, the holding-company discount: at the market's ~36% the stock is fair; at a normalised ~22% it is materially undervalued; at a widened ~48% it is expensive. None of this forecasts direction — the next sections describe a weak but mean-reverting price process — it states that, on the fundamentals, the debate is about the discount, not the assets.

1.6 The holding-company assets — a deeper look

The valuation rests on asset-level judgments. For each major holding we set out what it is, where it stands competitively, and how we mark it. One fact recurs: the listed stakes are marked by the market every day, so the genuine judgment calls are the two large unlisted subsidiaries and the core platform.

Asset scorecard

Asset	Stake	Mark basis	Key tension
KakaoBank	27.2%	market	rate-cycle sensitive; lock-up/overhang
KakaoPay	44.5%	market	path to sustained profit
Kakao Games	14.7%	market	stake cut after LY Corp sell-down
SM Entertainment	20.8%	market	content cyclical
Kakao Entertainment	66.0%	KRW 8tn (deal mark)	2023 PIF/GIC mark was higher
Kakao Mobility	57.3%	KRW 5.5tn (deal mark)	near-breakeven; regulatory scrutiny
Core platform (Talk Biz)	100%	~10x EBITDA	ad-cycle; New-Initiatives losses

KakaoBank and KakaoPay — the listed fintech core

KakaoBank is one of Korea's leading internet-only banks, profitable and scaled; KakaoPay is a major payments and fintech platform still working toward sustained profitability. Together they are the largest slice of the listed stake value (~KRW 5.4tn at market). Because they trade publicly, we take them at market and do not normalise — but their own share prices are rate- and sentiment-sensitive, and a re-rating of either flows straight into Kakao's NAV. Kakao Games (stake cut to ~15% after the June-2026 LY Corp sell-down) and the direct SM Entertainment stake are smaller listed positions carried at market.

Kakao Entertainment — the largest unlisted mark, and the biggest judgment call

Webtoons, music and IP, 66%-owned, is the single largest unlisted asset. A 2023 investment by Saudi Arabia's PIF and Singapore's GIC implied a valuation around KRW 11tn; we haircut that to ~KRW 8tn in the base case to reflect a softer content cycle and the staleness of the mark, with KRW 10tn in the bull and KRW 6tn in the bear. A Kakao Entertainment IPO — long discussed — would crystallise this value and is one of the more powerful upside catalysts in the Monte Carlo.

Kakao Mobility — scaling, near-breakeven, scrutinised

Ride-hailing and broader mobility, 57%-owned, marked at ~KRW 5.5tn EV on 2025 transaction reference points. It is approaching profitability but operates under regulatory scrutiny over commission practices. Like Kakao Entertainment, a listing or stake sale would crystallise the mark.

The core platform — small in value, large in importance

KakaoTalk's Talk Biz (advertising and commerce) carries a 30%-plus operating margin and is the profit engine; Daum and the AI effort (Kanana) sit alongside, with the loss-making New Initiatives (cloud, AI, healthcare) a drag we net against. We mark the whole core at ~KRW 7tn on roughly 10x EBITDA. It is only a fraction of gross NAV, but it is the part that monetises AI and carries the advertising cycle — the operational story even as the stakes carry the value.

1.7 The holding-company discount — the crux of the valuation

Because most of Kakao's value sits in stakes, the entire valuation reduces to one question on which reasonable people disagree: what discount to gross NAV is appropriate?

Why holdcos trade at a discount. Markets routinely pay less than the sum of the parts for a holding company — for double taxation on eventual disposals, for the cost of the holdco overhead, for the risk that capital is allocated to the controlling shareholder's preferences rather than minorities', and for the simple illiquidity and opacity of unlisted marks. For Korean conglomerates the discount has historically been wide, part of the broader "Korea discount". Kakao has carried an additional, company-specific overhang from the founder's legal jeopardy and from regulatory scrutiny of its platforms.

Why it might narrow. Three forces argue for some compression. The founder's acquittal in October 2025 removed the tail risk of a forced bank divestiture and a leadership vacuum. Korea's value-up programme — directors' fiduciary duty to all shareholders, mandatory cancellation of repurchased treasury shares, stronger board independence — pressures exactly the governance discount holdcos suffer. And a crystallisation event, an IPO or sale of Kakao Entertainment or Kakao Mobility, would convert an opaque private mark into observable cash and narrow the discount mechanically.

What the price implies. At KRW 33,150 the market prices a ~36% discount to our gross NAV. Our base case applies 32% — a modest normalisation, not a heroic one — and lands ~6% above spot. To reach the bull case at KRW 46,401 the discount must compress to ~22%, roughly the tighter end of the historical range and consistent with a successful crystallisation or value-up re-rating. To justify a

bearish view you must believe the discount stays at ~48% — that the assets are stale and the governance discount permanent. That is the debate, stated plainly: not what Kakao owns, but how much of it the market will ever credit.

1.8 Korea — governance, the value-up re-rating, the founder, and the won

A valuation of Kakao that ignores Korea is incomplete, because four Korea-specific forces — the historical "Korea discount", a sweeping governance reform now under way, the founder's legal resolution, and the won — bear directly on the discount the shares deserve.

The Korea discount and the value-up reform. Korean equities have long traded below global peers, rooted in family-controlled conglomerate structures with cross-shareholdings, modest shareholder returns and minority-shareholder conflict. Since 2024 Korea has pursued a Japan-style "Corporate Value-Up" programme that gained real legal teeth in 2025-26: directors' fiduciary duty to all shareholders, mandatory cancellation of repurchased treasury shares within a year, stronger board independence, and dividend-tax reform. The KOSPI has re-rated sharply on the agenda. For a holding company like Kakao the most relevant lever is treasury-share cancellation and clearer capital-return discipline, both of which attack the governance component of the holdco discount.

The founder's acquittal — overhang removed. In October 2025 Kim Beom-su was acquitted of the stock-manipulation charges tied to the 2023 SM Entertainment acquisition. That outcome removed two specific tail risks that had weighed on the shares: a possible forced divestiture of KakaoBank (a financial-holding-company ownership question that turned on the founder's conviction) and a leadership vacuum at the top of the group. Its removal is part of why our base discount is tighter than the market's.

The won is a second-order factor. Kakao is a domestic-revenue business, so USD/KRW translation matters far less than it does for an exporter; it enters the Monte Carlo only as a small factor via sentiment and the value of any overseas content revenue. The dominant Korea factor for Kakao is governance and the discount, not the currency.

1.9 DCF sensitivity — how much the cross-check moves

The consolidated DCF lands at KRW 24,517. The grid shows how the per-share figure moves with the discount rate and terminal growth. Across the plausible space the DCF stays well below both spot and the SOTP — because it excludes the stakes, no reasonable WACC/g combination closes the gap, which is exactly the point of the cross-check.

WACC \ g	2.0%	2.5%	3.0%	3.5%	4.0%
8.5%	26,900	28,700	30,800	33,300	36,300
9.0%	24,900	26,400	28,100	30,100	32,500
9.5%	23,100	24,400	25,800	27,500	29,400
10.0%	21,500	22,600	23,800	25,200	26,800
10.5%	20,100	21,000	22,000	23,200	24,500

Reading the grid. Only the most generous corner (low discount rate, high growth) approaches the lower edge of the relative/normalized lenses, and the base cell (WACC 9.5%, g 3.0%) sits at ~KRW 25,800. The operating cash-flow lens cannot reach spot on its own — you have to add the stakes, which is what the SOTP does. The DCF's role is to quantify how much of the price is asset value versus operating value: most of it.

2 Technical and price structure

Technicals describe the price, not the value. They matter here for one reason: a stock at multi-year lows, below every moving average and oversold, is as capable of a sharp mean-reverting bounce as of further drift lower. The structure is a sustained, extended downtrend — the mirror image of a melt-up.

Indicator	Reading	Interpretation
Spot vs 52-week range	33,150 / 32,250 – 71,600	at the 52-week low
Off the 52-week high	KRW 33,150 vs 71,600	-54% from the high
SMA 20 / 50 / 200	38,888 / 42,949 / 54,261	falling stack; price below all (bearish)
RSI (14)	~27	oversold
ATR (14)	1,968 (5.9%)	elevated daily range
Realized vol 60d / 252d	~54% / ~51%	high and persistent
Skew / excess kurtosis (252d)	-0.30 / +4.5	mild left skew, fat tails

Figure 2 · Price with moving-average stack — a falling 20/50/200 structure; spot below the 200-day at the 52-week low.

Figure 2 · Close with SMA-20/50/200 and RSI(14) — Kakao (035720)
 Price below a falling MA stack at the 52-week low; RSI ~27 is oversold after a ~36% one-year decline.



The honest technical read. The trend is down and the moving averages are stacked bearishly, with price beneath all three; RSI near 27 is oversold, which often precedes a bounce but is not, on its own, a reversal signal. Realized volatility around 51% and fat tails mean moves in either direction can be violent. Nearest meaningful resistance is the falling 20-day around KRW 38,900, then the 50-day near KRW 42,900. The technical and fundamental pictures are consistent: a beaten-down asset trading at a wide discount, where the fundamental question is whether that discount is too wide.

3 Monte Carlo — a probabilistic price map

This models the price over the next three months, not value. We simulate 50,000 paths (seed 42) from a 16-factor structure — seven continuous drivers and nine discrete event risks — calibrated to Kakao's own realized volatility. It answers "where could the price plausibly be, and with what probability", not "what is Kakao worth". The paths diffuse from spot as a near-term price process and deliberately do not embed the fundamental NAV — the value gap of Section 1 is kept out of the drift, so the fundamental and probabilistic lenses stay independent.

The 16 factors. Continuous (7): KakaoTalk advertising & commerce trajectory, AI monetization (OpenAI / Kanana) ramp, KOSPI / foreign-flows beta, USD/KRW translation, the narrowing of New-Initiatives losses, ad-market / consumer-spend softness, and the content/games trajectory. **Discrete events (9):** AI traction / ChatGPT-in-Kakao monetization (p~0.35, +7%), holdco-discount compression / value-up via treasury cancellation (p~0.35, +5%), stake crystallization — a Kakao Entertainment or Mobility sale/IPO (p~0.30, +5%), a KakaoBank/KakaoPay re-rating (p~0.30, +3%), a two-sided quarterly ad/commerce surprise (p~0.40, ±), an ad-market disappointment (p~0.35, -6%), regulatory/antitrust action under the platform law (p~0.30, -5%), the founder-acquittal appeal reviving bank-divestiture risk (p~0.15, -8%), and a broad KOSPI/EM risk-off (p~0.25, -6%).

Net three-month drift is roughly flat (~+1%), total three-month volatility ~28% (~57% annualised), and the distribution is mildly right-skewed — the positive catalyst set (discount compression, crystallization, AI) modestly outweighs the negative in expectation, while the downside events are sharper per event. The drift is built from these forward factors rather than from raw trailing momentum: on a literal extrapolation of the past year's ~36% decline the median would sit far lower, but we do not assume the downtrend simply continues, and carry the realized momentum only as one editable factor among sixteen.

Horizon	5%	25%	Median	75%	95%
T + 20 sessions (~1m)	25,404	29,799	33,294	37,199	43,634
T + 60 sessions (~3m)	21,022	27,714	33,584	40,697	53,651

Figure 3 · Three-month fan chart — percentile cone of simulated paths from spot; median ~flat, a very wide band.

Figure 3 · Forward cone to T+60 (16-factor model, 50k paths)
 Median ~flat near spot; a very wide 10-90% band (~21k-54k at three months) reflects ~51% realized vol.

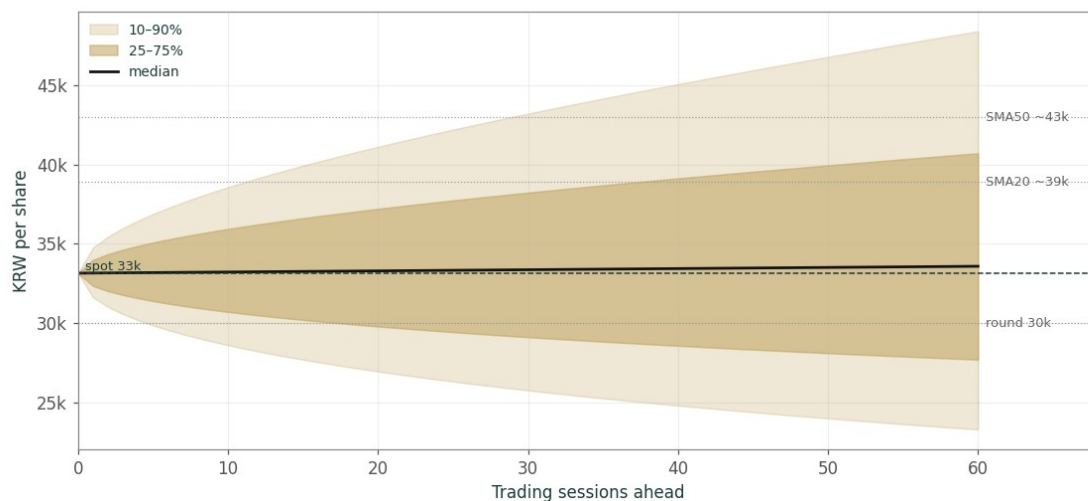


Figure 4 · Distribution of the price at T+20 (~1 month) — roughly two-sided around spot.

Figure 4 · T+20 price distribution (16-factor model)
 One-month view, roughly two-sided around spot.

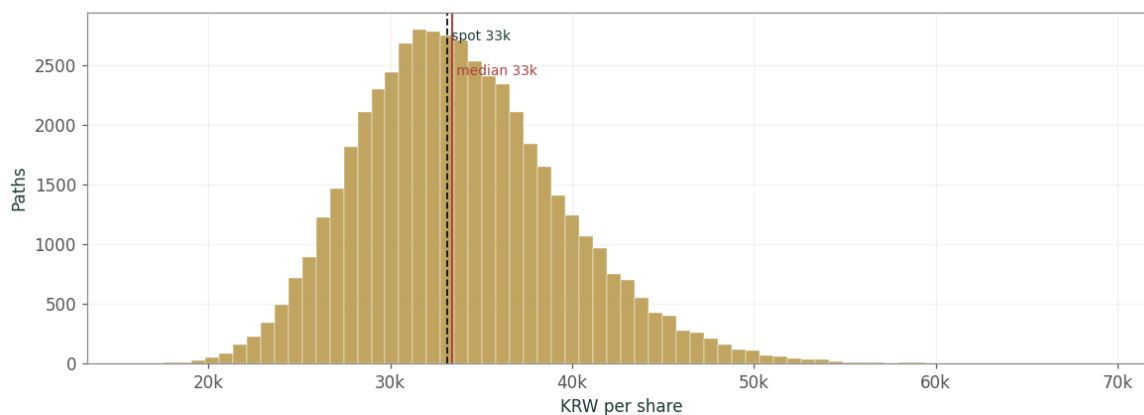
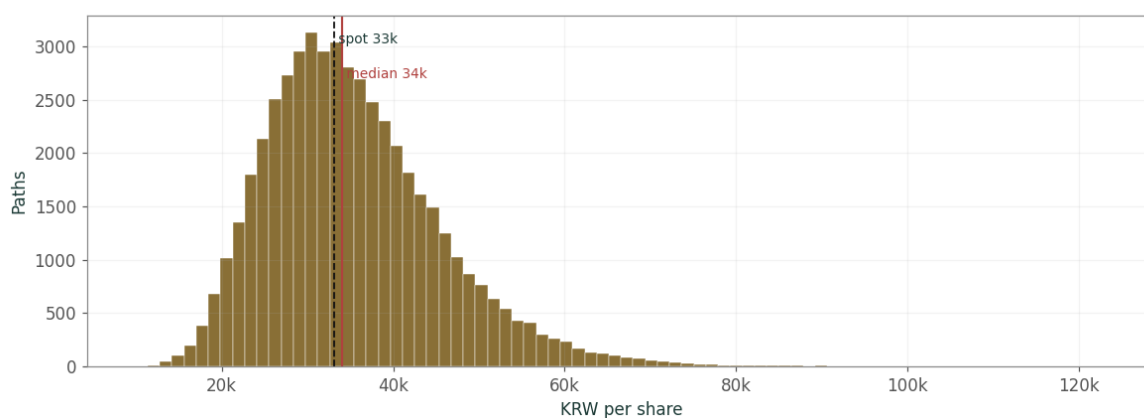


Figure 5 · Distribution of the price at T+60 (~3 months); note the mild right skew and fat tails.

Figure 5 · T+60 price distribution (16-factor model)
 Three-month view fans out and skews mildly right.

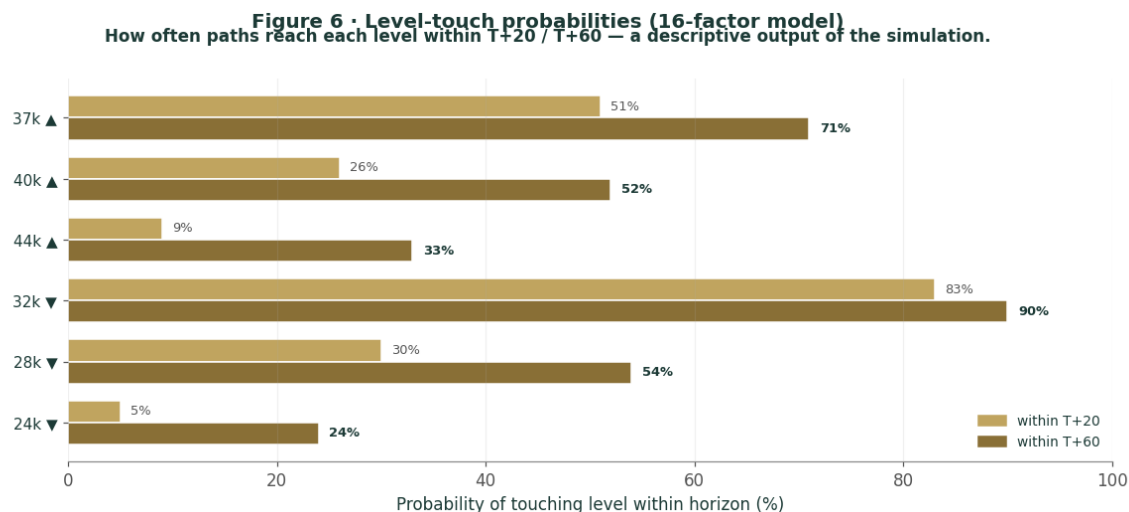


Touch probabilities — chance the price reaches a level at any point in the window

Level	by T+20	by T+60	Note
KRW 37,000	51%	71%	toward the 20-day

Level	by T+20	by T+60	Note
KRW 40,000	26%	52%	toward the 50-day
KRW 44,000	9%	33%	above the 50-day
KRW 32,000	83%	90%	first support test
KRW 28,000	30%	54%	deeper pullback
KRW 24,000	5%	24%	toward the DCF / bear zone

Figure 6 · Upside and downside touch ladders over the three-month window.



What the map says. Over three months a move up to the falling 20-day around KRW 37,000 is more likely than not (~71%), while a push above the 50-day toward KRW 44,000 is a lower-probability ~33% — an oversold bounce is plausible but the falling averages sit overhead. On the downside, a retest of support near KRW 32,000 is highly likely (~90%) and a deeper slide toward KRW 28,000 is a non-trivial ~54%. Crucially, this near-term map and the fundamental finding are not in conflict: the price can wander within a wide band over three months while value sits a few percent above price. The Monte Carlo describes the former; Section 1 describes the latter.

4 Comparison of the lenses, and a verdict

Lens	What it measures	Output	vs spot
SOTP base (primary)	gross NAV less 32% discount	KRW 35,216	+6%
SOTP bull	discount compresses to 22%	KRW 46,401	+40%
Consolidated DCF	owned operating cash flow only	KRW 24,517	-26%
Relative multiples	vs Naver / sector	KRW 31,223	-6%
Normalized earnings	through-cycle profit	KRW 32,948	-1%
Weighted central	triangulated estimate	KRW 34,258	+3%
Monte Carlo T+60 median	likely 3-month price	33,584	+1%

Verdict — roughly fairly valued; the whole case is a holding-company-discount bet. The fundamental lenses agree to an unusual degree that KRW 33,150 is close to fair: the central estimate is KRW 34,258 (+3%), and the lenses straddle spot. The cash-flow cross-check, which deliberately ignores the stakes, is the most conservative and shows how much of the value is asset rather than operating cash flow. The technical trend is weak — the shares sit at their 52-week low, oversold below falling averages — and the three-month price map is wide and roughly centred on spot. A buyer at this level is not buying an obvious discount to value, nor an obvious overvaluation, but is underwriting one proposition: that the ~36% holding-company discount narrows toward its historical range, helped by the founder's acquittal, the value-up agenda, AI monetization in Talk Biz, and the eventual crystallisation of the unlisted stakes. If the discount compresses, the bull case at KRW 46,401 is reachable; if it widens or the private marks prove stale, the downside to the bear case is large. This study expresses a valuation, not a trade, and certainly not advice.

5 Catalysts to watch

Stake crystallization — IPO or sale (↑, high impact). A listing or sale of Kakao Entertainment or Kakao Mobility would convert an opaque private mark into observable value and is the single most powerful lever on the holding-company discount.

Holdco-discount / value-up (↑). Treasury-share cancellation, a clearer capital-return policy, or governance steps in the spirit of Korea's reforms would attack the discount directly.

AI monetization (↑). Evidence that the OpenAI ChatGPT-in-KakaoTalk integration and the in-house Kanana models lift Talk Biz advertising and commerce would re-rate the core platform and the growth narrative.

Quarterly advertising & commerce (↑/↓). The direction of Talk Biz ad and commerce revenue is the clearest read on the operating engine and the consumer cycle.

KakaoBank / KakaoPay re-rating (↑/↓). Because the listed fintech stakes are the largest slice of NAV, a move in either flows straight into Kakao's value.

Regulatory / appeal (↓). Platform-law antitrust action, commission-practice scrutiny at Kakao Mobility, or a successful prosecution appeal of the founder's acquittal are the principal near-term downside catalysts.

6 Reading the probability zones

Combining the fundamental anchors with the three-month price map gives a set of zones — descriptive, not directive.

Zone	Range (KRW)	What it would mean
Discount compression	44,000 – 53,000+	discount narrows toward ~22%; crystallisation/value-up
Re-rating underway	37,000 – 44,000	discount drifts toward base; oversold bounce
Central / fair	33,000 – 37,000	where spot and the SOTP base sit
Discount persists	28,000 – 33,000	wide discount holds; ad-market soft
Wide-discount / bear	< 25,000	discount widens; DCF / stale-marks zone

7 Caveats and what would change our mind

The unlisted marks are judgments, and stale. The Kakao Entertainment (~KRW 8tn) and Mobility (~KRW 5.5tn) marks rest on dated transactions; a crystallisation event could reset them materially in either direction. This is the single biggest source of error in the SOTP.

The discount is the swing factor, and we may have it wrong. A base discount of 32% is a modest normalisation from the market's ~36%. If the governance discount proves permanent, fair value migrates toward the bear case; if crystallisation and value-up land, toward the bull. Reasonable analysts will choose differently; the Excel companion lets you change the discount and every mark.

Listed stakes move daily. KakaoBank, KakaoPay, Kakao Games and SM are marked to market; a sharp move in any — particularly the two fintech names — changes the NAV between the date of this study and any later reading.

The Monte Carlo is a price model, not a forecast. It encodes our probability estimates for events that have not happened. The factor probabilities are inputs, not facts, and the model says nothing about value.

RSI / momentum reminder. RSI ~27 is oversold, which often precedes a bounce — but a stock in a sustained downtrend with realized vol near 51% can keep falling. Do not mistake "oversold" for a margin of safety; the margin of safety, if any, is in the discount to NAV, not the indicator.

Appendix A Financial statements (KRW tn)

Actuals (FY2023-FY2025) are Kakao's consolidated disclosure under K-IFRS (revenue and operating profit per Kakao IR; balance-sheet totals per the latest filings). FY2022-2023 figures are shown on Kakao's restated basis (after the accounting-policy change and subsidiary streamlining), which is why 2025 — at KRW 8.10tn — was the first year above KRW 8tn. Forecast columns (2026e-2030e) are the preparer's illustrative operating build that ties to the Excel companion; they are deliberately below management's 2026 guidance of >10% revenue growth and a ~10% operating margin, which the later years approach. Sub-lines of the balance sheet are approximate allocations to the reported totals. The holding-company stake values sit largely outside these consolidated lines.

A.1 Consolidated income statement (KRW tn)

Income statement	2023a	2024a	2025a	2026e	2027e	2028e	2029e	2030e
Platform revenue	3.50	3.90	4.32	4.75	5.25	5.70	6.15	6.60
Content revenue	4.06	3.97	3.78	3.65	3.65	3.70	3.75	3.80

Income statement	2023a	2024a	2025a	2026e	2027e	2028e	2029e	2030e
Total revenue	7.56	7.87	8.10	8.40	8.90	9.40	9.90	10.40
growth YoY	—	+4%	+3%	+4%	+6%	+6%	+5%	+5%
(Operating expenses)	(7.06)	(7.38)	(7.37)	(7.60)	(7.98)	(8.35)	(8.72)	(9.10)
Operating profit	0.50	0.49	0.73	0.80	0.92	1.05	1.18	1.30
OP margin	6.6%	6.3%	9.0%	9.5%	10.3%	11.2%	11.9%	12.5%
Net non-operating & associates	(0.40)	(0.65)	(0.05)	0.00	0.02	0.03	0.04	0.05
Pre-tax profit/(loss)	0.10	(0.16)	0.68	0.80	0.94	1.08	1.22	1.35
Income tax & minority interests	(0.05)	0.00	(0.15)	(0.22)	(0.24)	(0.26)	(0.27)	(0.27)
Net profit/(loss) attributable	0.05	(0.16)	0.53	0.58	0.70	0.82	0.95	1.08
net margin	0.7%	(2.1%)	6.5%	6.9%	7.9%	8.7%	9.6%	10.4%
EPS (KRW)	113	(363)	1,203	1,316	1,588	1,861	2,156	2,451

Note. Platform (Talk Biz, Portal, Mobility/Pay/other) is growing and now exceeds Content (Games, Story, Music, Media), which has declined as Games revenue fell. FY2024 was a net loss of ~KRW 0.16tn on large goodwill/intangible impairments; FY2025 returned to a record net profit of KRW 0.53tn. Reported earnings capture little of the listed-stake value, which is why the holding-company SOTP — not the income statement — is the primary lens.

A.2 Consolidated balance sheet (KRW tn)

Balance sheet	2023a	2024a	2025a	2026e	2027e	2028e	2029e	2030e
Cash & cash equivalents	5.8	6.5	6.8	7.2	7.7	8.2	8.8	9.5
ST financial instruments & other	2.3	2.4	2.5	2.5	2.5	2.5	2.5	2.5
Trade & other receivables	1.4	1.5	1.5	1.6	1.7	1.8	1.9	2.0
Total current assets	9.5	10.4	10.8	11.3	11.9	12.5	13.2	14.0
Property, plant & equipment	2.8	3.0	3.2	3.4	3.6	3.8	4.0	4.2
Goodwill & intangible assets	8.0	7.7	7.5	7.5	7.5	7.5	7.5	7.5
Investments in associates	3.4	3.5	3.5	3.6	3.7	3.8	3.9	4.0
Other non-current assets	2.8	2.4	2.8	2.8	2.8	2.8	2.8	2.8
Total non-current assets	17.0	16.6	17.0	17.3	17.6	17.9	18.2	18.5
Total assets	26.5	27.0	27.8	28.6	29.5	30.4	31.4	32.5
Trade & other payables	2.0	2.1	2.2	2.3	2.4	2.5	2.6	2.7
Other current liabilities	2.8	3.0	3.3	3.3	3.3	3.3	3.3	3.3
Total current liabilities	4.8	5.1	5.5	5.6	5.7	5.8	5.9	6.0
Borrowings, bonds & leases	2.5	2.7	2.9	2.9	2.9	2.9	2.9	2.9
Other non-current liabilities	0.5	0.5	0.4	0.4	0.4	0.4	0.4	0.4
Total liabilities	7.8	8.3	8.8	8.9	9.0	9.1	9.2	9.3
Equity attributable to owners	11.0	10.3	10.5	11.0	11.6	12.3	13.1	14.0
Non-controlling interests	7.7	8.4	8.5	8.7	8.9	9.0	9.1	9.2
Total equity	18.7	18.7	19.0	19.7	20.5	21.3	22.2	23.2
Total liabilities & equity	26.5	27.0	27.8	28.6	29.5	30.4	31.4	32.5
BVPS — attributable (KRW)	24,960	23,370	23,830	24,960	26,320	27,910	29,720	31,770
Net cash (cash – debt)	3.3	3.8	3.9	4.3	4.8	5.3	5.9	6.6

Note. Totals are anchored to Kakao's reported balance sheet (total assets ~KRW 27.8tn, total equity ~KRW 19.0tn, cash ~KRW 6.8tn, debt ~KRW 2.9tn at end-2025); sub-lines are approximate allocations. Large non-controlling interests (~KRW 8.5tn) reflect the consolidated stakes in KakaoPay, Kakao Entertainment, Mobility and Games; equity attributable to owners is ~KRW 10.5tn, a book value of ~KRW 23,800/share (P/B ~1.4x). Book value understates the holding-company NAV because the listed stakes carry little book value relative to market — which is why the discount-to-NAV, not P/B, is the more informative gauge.

A.3 Consolidated cash flow (simplified)

Cash flow	2023a	2024a	2025a	2026e	2027e	2028e	2029e	2030e
Operating cash flow	0.92	0.95	1.10	1.18	1.27	1.40	1.53	1.67
Capex (investing)	-0.58	-0.60	-0.55	-0.80	-0.84	-0.88	-0.92	-0.96
Free cash flow	0.34	0.35	0.55	0.38	0.43	0.52	0.61	0.71

The point of A.3 for the valuation. Kakao generates solid operating cash flow but reinvests heavily in content, AI and infrastructure, so free cash flow is modest. That gap, together with the fact that the consolidated lines exclude the equity-method stakes, is why the DCF in 1.2 lands far below the asset-based SOTP.

Appendix B Step 0 — calibration backtest

Before publishing any probabilistic price map we test the engine against Kakao's own five-year history: does a lognormal three-month price model, fed with realized volatility, produce calibrated intervals?

Result. Using non-overlapping three-month windows over the post-split history (13 windows) and a volatility uplift of 1.15x on the trailing realized volatility, the probability-integral-transform (PIT) mean is ~0.47, the 50/80/90% bands cover at roughly 62/77/85%, and the Kolmogorov-Smirnov test does not reject calibration ($p \approx 0.63$). The window count is small, so the coverage figures are noisy, but the engine shows no strong directional bias and is not materially mis-calibrated. Unlike a strongly trending name, Kakao's history does not exhibit a large secular drift to correct for; the engine passes without a drift override. We therefore build the Monte Carlo drift from forward factors rather than baking in the recent decline, and carry realized momentum only as one editable factor.

Figure B1 · PIT histogram — close to uniform after the 1.15x volatility uplift; no strong directional bias.

Figure B1 · PIT histogram — Step 0 calibration (Kakao 035720)
Close to uniform after the 1.15x vol uplift (PIT mean 0.47, KS $p=0.63$); no drift override needed.

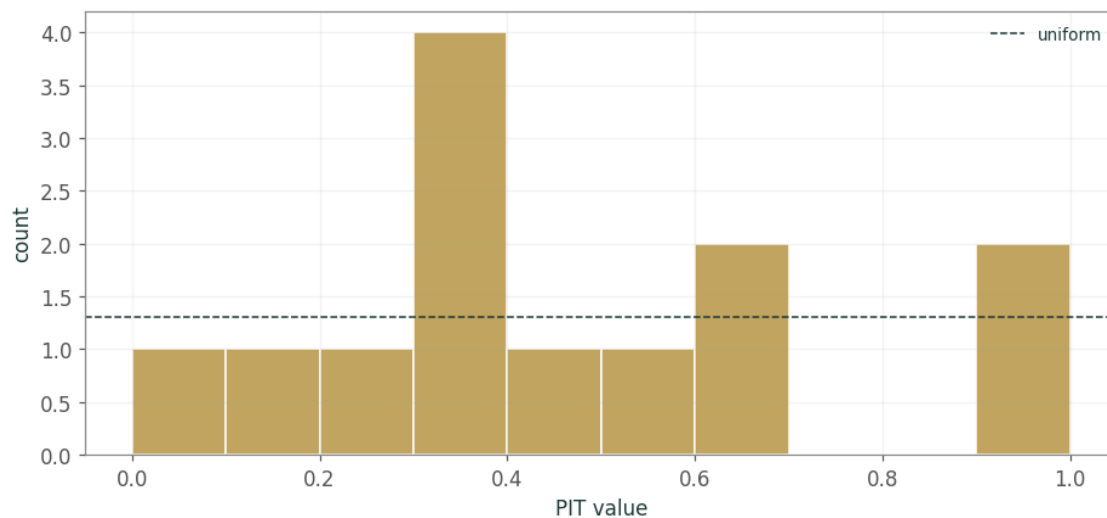
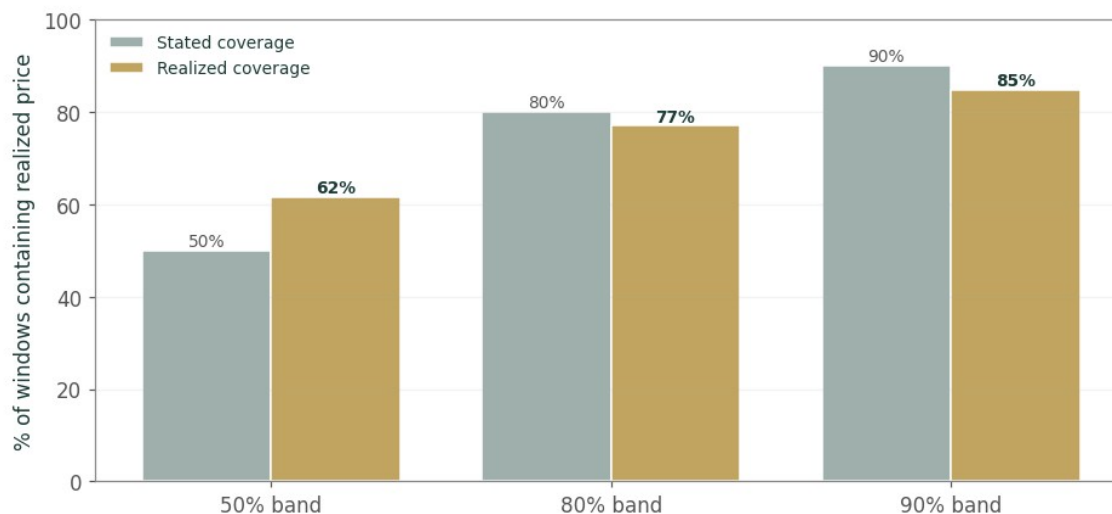


Figure B2 · Interval coverage — stated vs realized band coverage over the post-split history.

Figure B2 : Step 0 — interval-coverage check (Kakao 035720)
 Do the stated bands contain the realized 3-month price at their stated rates?



Appendix C Peer set, sector structure, and risks

C.1 The competitive map

Arena	Leader	Kakao	Note
Messaging (Korea)	KakaoTalk	#1	near-universal reach
Search / portal	Naver	Daum #2	Naver dominant in search
Internet banking	KakaoBank / Toss	top tier	KakaoBank listed, profitable
Fintech / payments	KakaoPay / Toss / Naver Pay	top tier	path to profit
Webtoons / IP	Kakao / Naver	co-leader	global content push
Mobility	Kakao Mobility	#1	regulatory scrutiny
AI (Korea)	Naver / Kakao	challenger	OpenAI tie-up + Kanana

C.2 Principal risks

Holding-company discount — the dominant factor; a persistently wide or widening discount keeps the shares below NAV regardless of asset value.

Stale or impaired private marks — the Kakao Entertainment and Mobility valuations rest on dated transactions and could be reset down.

Ad-market and consumer cycle — Talk Biz advertising and commerce, the operating engine, is sensitive to domestic consumer spending.

Regulatory / antitrust — platform-law action and commission-practice scrutiny (notably at Kakao Mobility) can pressure both the core and the subsidiaries.

Listed-stake volatility — KakaoBank, KakaoPay, Kakao Games and SM are marked to market; their moves change the NAV directly.

Governance / founder — the value-up agenda cuts in Kakao's favour, but a successful appeal of the founder's acquittal would revive the bank-divestiture overhang.

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TESTAHIL · Independent Valuation Study · Educational Analysis · Kakao Corp. (KRX: 035720) · edition 28-06-2026 · reporting currency KRW